

Investors benefit from a discount when the debt converts to equity in the subsequent funding round. This structure allows start-ups to safeguard their valuation by avoiding a fixed price for the funds raised through notes. Convertible notes come in handy in situations where equity is hard to come by and inside rounds are common. It provides existing investors, facing the challenge of fairly pricing a new round, the means to navigate a delicate balance to avoid undervaluing the company or unjustly pricing themselves. Moreover, it presents them a window for more market-driven benchmarks or priced events to emerge, allowing for a more informed valuation at a later date.

“When covenants get breached, debt providers have to do what it takes to protect their capital. That means enforcing their charge on things like brand or IP. That has happened in a few cases. Debt is a very powerful instrument but it needs to be used judiciously. Founders and companies need to appreciate that it (debt) has a very different profile than equity. Sometimes what happens is when money is flowing easily, people tend to think of it as fungible. That discipline maybe was not as clear. Now it’s much more obvious to people that debt comes with obligations to repay and people just need to be more responsible,” says Rahul Khanna, Co-founder and Managing Partner at Trifecta Capital.

As per Khanna, when opting for debt, start-ups must align their sources and uses to match the specific needs of their business, whether it involves funding an acquisition, supporting working capital, or enhancing credit. While debt can be a suitable source of capital for such needs, the challenge lies in determining the extent to which it can be leveraged, especially for loss-making companies. Prudent and careful consideration is necessary



“Start-ups should avoid debt because the only sustainable way to service and repay debt is from your cash flows. Since most start-ups are unprofitable, I don’t see how they can repay debt”

RITESH BANGLANI
PARTNER, STELLARIS VENTURE PARTNERS

to avoid overleveraging, recognising the eventual need for more equity in such cases. Both debt providers and founders need to be mindful of potential value destruction if the company struggles to service the debt.

“The alignment of sources and uses, thoughtful consideration of leverage, and awareness of tight liquidity are crucial factors. It’s not that equity is expensive and debt is going to be cheap. It doesn’t work like that. If equity is expensive, then all cost of capital goes up. So, the pricing of debt has to reflect the risks in the market and it also has to reflect the real cost of capital in the industry,” he says.

For venture capital (VC) investors on the cap table, the introduction of debt is viewed as instilling a level of discipline. The monthly

repayment schedule imposes a structured cadence, fostering an enhanced appreciation for operational discipline within companies. Debt, unlike equity financing, also allows for different flavours based on how it’s structured, collateralised, influencing pricing and conversion implications.

T **HEREFORE, AS** Khanna emphasises, debt should be perceived not as a demon but rather as an evolution of the asset class. As companies mature, their needs become clearer, and the credit ecosystem in the new economy has evolved accordingly. Companies and boards must thoughtfully consider the applicability of different financial instruments and stay aligned with market trends. The risk lies in an influx of debt capital flowing too rapidly, akin to what occurred in the equity domain. Venture debt or private credit, tailored for the new economy, must walk alongside equity. Without a flow in equity markets, credit markets won’t follow suit; they are complementary rather than substitutes, especially for loss-making start-ups.

“And I guess in a way, lessons have been learnt that prudence on capital structure is very important. The next generation of founders, gearing up for liquidity events, would obviously be more thoughtful and take into account [the fact] that things could take longer, and therefore how much leverage is appropriate, how they should be structuring it, and over what timelines it needs to be repaid in relation to an IPO or exit event,” adds Khanna.

The crucial point is that—in the case of loss-making start-ups—debt cannot replace equity; it never has and never will. It can, however, stroll alongside equity. **BT**

@binu_t_paul